

BEX3000 Research Report

NEXTDC Limited

Assessment of Finance, Operations and Strategy

Prepared By	Yang Peng (33235422)
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Executive Summary

NEXTDC is well positioned to benefit from the ongoing growth of artificial intelligence (AI), cloud computing, digitalisation, and hyperscale data-centre demand. The company's strategy of expanding AI-ready capacity, targeting hyperscale customers and leveraging its reputation for operational reliability while aligning with national sustainability objectives is broadly aligned with industry trends and supported by a growing contracted order book.

The analysis finds that operational capability and market demand are not the primary constraints on growth. NEXTDC continues to invest in AI-ready infrastructure and technological capabilities to meet the evolving requirements of hyperscale customers, supported by strong customer demand and improving sustainability credentials. However, rapid expansion has created significant financial and operational pressures. Capacity utilisation and asset efficiency have yet to fully reflect the scale of recent investment, while liquidity remains constrained due to the capital-intensive nature of the company's expansion program.

The strategy is assessed as suitable, feasible and acceptable, although feasibility remains highly dependent on continued access to external funding. Investor support remains strong, evidenced by the successful issuance of a \$1.7 billion 100-year bond and continued customer commitments. Going forward, the Board's key priority should be disciplined capital management, improving asset utilisation and maintaining access to funding to ensure expansion can be sustained in an increasingly competitive market.

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Introduction

This report gives the Board an independent assessment of the Company's position across Finance, Operations and Strategy, based on FY25 results and the SWOT, PESTLE, and Porter's Five Forces analysis in the Appendices.

Analysis

This section covers NEXTDC's three business disciplines: finance, operation, and strategy.

Finance

NEXTDC's financial position reflects the structural demands of capital-intensive expansion within a rapidly growing AI infrastructure sector.

Positive

- Revenue grew by 5.27% and EBITDA of \$200.0m significantly exceeded the industry average, confirming strong underlying demand and reflecting the company's scale relative to the industry (Appendix A, S3).
- Expansion is demand-driven rather than speculative: 118% of built capacity, and a 133.9MW Forward Order Book is set to convert to revenue through FY29, so commitments already exceed physical capacity (Appendix A, S2).
- Capital markets endorse the long-term growth. NEXTDC raised \$1.7bn through a 100-year bond, signalling institutional confidence in its long-term cash generation (Moullakis, 2026).

Negative

- Liquidity is the most urgent concern. The current ratio fell to 1.2x in a single year and cash reserves dropped substantially to \$24.7m, showing limited financial buffer (Appendix A, W2).
- The expansion has been largely debt-funded, with approximately \$1.2bn in long-term borrowings. NEXTDC reported a negative NPAT in FY25 and an interest coverage ratio of just 0.3x, leaving limited capacity to service its debt obligations (IBISWorld, 2025a; Appendix A, W4).
- Rising rates amplify this exposure: with the RBA cash rate at 4.35%, each increase compresses the buffer of a company carrying \$1.54bn in liabilities (Appendix A, T3).
- Capital is locked in illiquid assets. Around 93% of NEXTDC's \$5.7bn asset base is non-current assets, leaving the balance sheet little flexibility to absorb shocks (Appendix A, W1 and W2).

The most critical financial risk is material: at 0.3x interest cover, NEXTDC cannot service its debt from operating income alone, making the entire expansion strategy heavily reliant on continued access to external capital. Should debt markets tighten or rates rise beyond current RBA projections (Appendix A, T3), the build-out pipeline would be directly at risk. The Board should therefore treat capital market access as a critical dependency requiring active management.

Operation

NEXTDC's operations are built for reliability, but resource efficiency and capacity utilisation have not yet kept pace with its rapid build-out.

Positive

- NEXTDC delivers industry-leading operational reliability. It is the only operator in the Southern Hemisphere to hold Tier IV Gold certification for Operational Sustainability, with 100% uptime, a decisive advantage when competing for mission-critical workloads (Appendix A, S1).
- Carbon Usage Effectiveness (CUE) fell from 1.08 to 1.04 between 2024 and 2025. This strengthens its appeal to sustainability-focused customers and positions it ahead of tightening Net Zero expectations (Appendix A, S5; Appendix B, En2).

Negative

- Energy efficiency lags domestic peers. A portfolio PUE of 1.44 sits above the Australian median, and because electricity is a major operating cost, this gap pressures margins as power-intensive AI workloads grow (Appendix A, W3).
- Water intensity is also rising as the portfolio scales. FY25 Water Usage Effectiveness (WUE) increased to 2.25, driven by growth at high-density sites. As disclosure obligations and investor scrutiny tighten, this growing water footprint adds to compliance and reputational risk (Appendix A, T2; Appendix B, En1).
- Asset utilisation is also low. A PPE turnover of 0.09x against the industry's 0.20x shows that recently built capacity is not yet converting into revenue at peer rates (Appendix A, W1).

While CUE improved to 1.04, portfolio PUE remained elevated at 1.44, indicating that sustainability gains have come mainly from cleaner energy sourcing rather than improved energy efficiency. More critically, with billing utilisation at only 53% of built capacity against contracted utilisation of 118% (Appendix A, S2; W1), NEXTDC holds significant latent revenue potential that has not yet been realised. Accelerating this conversion would provide the most direct means of improving cash flow and reducing financial pressure.

Strategy

NEXTDC is pursuing a differentiated expansion strategy: repositioning from enterprise colocation toward hyperscale and AI workloads, funding an aggressive capacity build-out through long-dated institutional capital, and differentiating on reliability and environmental credentials (Appendix A). The strategy is evaluated below against the Suitability, Feasibility, Acceptability (SFA) framework.

Suitability. The strategy is closely matched to where the market is heading. Demand is shifting toward hyperscale and AI workloads (Appendix B, Ec2), and NEXTDC is responding through AI-ready infrastructure, including Australia's first 40MW direct-to-chip liquid-cooling deployment (Appendix A, S4; Appendix B, Te1). The strategy also aligns with rising sustainability expectations from governments, hyperscalers and investors: NEXTDC's early move into PPAs and renewable-project investment is beginning to show in its operational performance (CUE Improvement) (Appendix A, S5; Appendix B, En2). Furthermore, NVIDIA DGX AI Factory certification and recent proposed AI-focused facility demonstrated NEXTDC's commitments to expand AI capacity (Appendix A, S4). The industry structure further supports this direction: Porter's Five Forces analysis (Appendix C) indicates moderate buyer power due to limited AI-ready supply, low substitution risk, and high switching costs, all of which favour NEXTDC's specialised positioning.

Feasibility. The build-out is extremely capital-intensive with depreciation of \$208m now exceeding EBITDA of \$200m, so the asset base does not yet earn its own carrying cost, while liquidity is thin at a 1.2x current ratio and 0.3x interest cover (Appendix A, W2 and W4). Feasibility therefore depends on continued access to external capital, while supplier power

over electricity and land (Appendix C, BS) and the threat of new entrants such as Firmus (Appendix C, TE) add further execution risk.

Acceptability. Stakeholder support is evident from both investors and customers. Investors backed the strategy through the \$1.7 billion 100-year bond issue (Moullakis, 2026), while customer demand is demonstrated by the 133.9MW Forward Order Book and the OpenAI hyperscale partnership (Appendix A, S2; S4). This support persists despite weak near-term returns (Appendix A, W4), elevated regulatory compliance risk (Appendix A, T4; Appendix B, L1-L3), and intensifying competition (Appendix C, CR). The strategy is therefore acceptable to stakeholders, but on a delayed-return, higher-risk basis.

Conclusion

NEXTDC is well positioned to benefit from the structural growth of AI and hyperscale demand, supported by a strategy that is broadly aligned with market conditions and stakeholder expectations. To realise this opportunity, the company must improve capacity utilisation and asset efficiency while managing liquidity pressures associated with its capital-intensive expansion program. The Board's immediate priority should be accelerating the conversion of contracted demand into revenue while maintaining access to capital markets, as these are the two levers most directly within its control.

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Appendix A: SWOT Analysis

Appendix A applies a SWOT framework. Each item is labelled (S/W/O/T + number) and referenced by code throughout the report.

Strength

S1: Industry-Leading Operational Reliability

NEXTDC is the only data-centre operator in the Southern Hemisphere to hold Tier IV Gold certification for Operational Sustainability (NEXTDC, 2024). This independently validates the company's operational resilience and 100% uptime, giving it a clear reliability advantage in the regional market and a tangible differentiator when competing for mission-critical workloads.

S2: Strong Customer Demand and Revenue Visibility

NEXTDC's demand pipeline provides strong forward revenue visibility. Contracted utilisation rose 42% in FY25, from 172.6MW to 244.8MW, while billed capacity increased from 86.0MW to 110.9MW (NEXTDC, 2025b). A further Forward Order Book of 133.9MW is contracted to convert into revenue across FY26 to FY29 (NEXTDC, 2025b), meaning a substantial share of future earnings is already secured.

Market growth demonstrated by NEXTDC

	30 June 2025	30 June 2024	30 June 2023	30 June 2022	30 June 2021
Operating facilities ¹	17	16	12	11	9
Built capacity ²	207.9MW	165.1MW	133.4MW	113.9MW	95.8MW
Contracted utilisation ³	244.8MW	172.6MW	122.2MW	83.0MW	75.5MW
% of built capacity	118%	105%	92%	73%	79%
Billing utilisation ⁴	110.9MW	86.0MW	77.7MW	72.8MW	65.4MW
% of built capacity	53%	52%	58%	64%	68%

¹ Operating facilities: The number of facilities which were operational at the reporting date.

² Built capacity: MW built includes the designed power capacity of the data centre halls fitted out at each facility. Further investment into customer related infrastructure, such as backup power generation, cooling equipment or rack infrastructure may be made in line with customer requirements.

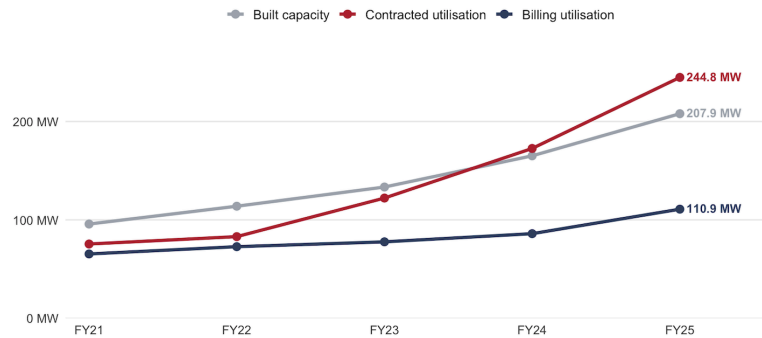
³ Contracted utilisation: Total of all sold capacity in MW including customers with deferred contract commencement dates. 30 June 2024 contracted utilisation represents the pro-forma number as disclosed in NEXTDC's ASX announcement of 6 August 2024.

⁴ Billing utilisation: Total of all sold capacity in MW where the service has commenced.

Source: Market Growth demonstrated by NEXTDC (NEXTDC, 2025b).

Market growth demonstrated by NEXTDC

Built vs contracted vs billing capacity, FY2021–FY2025 (as at 30 June)



Source: Market Growth demonstrated by NEXTDC (NEXTDC, 2025b). Graph created using R.

S3: Stronger revenue and EBITDA growth

NEXTDC's core operations generate strong returns. Revenue grew at 5.27%, which is better than the industry average of 4.65% (see Competitor Benchmarking picture), while EBITDA reached \$200.0m (see Revenue Growth picture), far exceeding the industry average of \$26.1m in 2025 (IBISWorld, 2025a).

Profit & Loss Statement

Balance Date	30-Jun-2025	30-Jun-2024	30-Jun-2023	30-Jun-2022	30-Jun-2021
Reported Currency	AUD	AUD	AUD	AUD	AUD
Currency Units	AUD000	AUD000	AUD000	AUD000	AUD000
Revenue Items					
Sales Revenue	427,209	404,337	362,369	291,044	246,065
Other Revenue	34,000	33,749	11,806	2,686	4,384
Total Revenue	461,209	438,086	374,175	293,730	250,449
Cost of Goods Sold	-	-	-	-	-
Depreciation	208,407	167,699	137,870	106,853	97,031
Interest					
Interest Received	33,506	32,650	10,969	1,757	3,932
Interest Expenses	83,786	91,967	78,988	52,460	49,390
Profit & Loss					
Share of Profits of Associates	-1,813	-6,592	-4,262	-	-
EBITDA	200,018	190,710	182,650	155,898	118,858
Income Tax Expense	1,874	7,840	2,402	-10,797	0.0
Continuing Operations After Tax	-60,543	-44,146	-25,641	9,139	-23,631
Outside Equity Interest	0.0	0.0	0.0	0.0	0.0
Profit Before Tax	-58,669	-36,306	-23,239	-1,658	-23,631
NPAT	-60,543	-44,146	-25,641	9,139	-23,631
Audit					
Audit Fees	907	759	784	629	430
Audit Other	163	88	15	141	20
Total Audit Fees	1,071	847	799	770	450

Source: Profit & Loss Statement (IBISWorld, 2025a).

Ratios	Industry Average *	NEXTDC 30-Jun-2025	Compared to Industry	Unit
Asset Growth	7.71	9.04	Higher ▲	Percent
Dividend Growth Rate	N/C	N/C	Lower ▼	Percent
Employees Growth	-6.37	0.00	Higher ▲	Percent
NPAT Growth	73.01	N/C	Lower ▼	Percent
Revenue Growth	4.65	5.27	Higher ▲	Percent

*Industry Average refers to the average of all companies in the AU & NZ Enterprise Profiles database that are identified as primarily operating in the Cloud Storage Services industry.

Source: Revenue Growth (NEXTDC vs Industry Average) (IBISWorld, 2025a).

Ratios	Industry Average *	NEXTDC 30-Jun-2025	Compared to Industry	Unit
Asset Turnover Ratio	0.09	0.08	Lower ▼	Times
Cash Ratio	0.17	0.10	Lower ▼	Times
Creditors T/O	188.61	N/C	Lower ▼	Days
Current Ratio	1.38	1.24	Lower ▼	Times
Days Stock Held	4.99	N/C	Lower ▼	Days
Debtors T/O	35.98	30.22	Lower ▼	Days
Dividend Payout Ratio	N/C	N/C	Lower ▼	Percent
Dividend Per Share	N/C	N/C	Lower ▼	A\$
Earnings Per Share	-0.10	-0.09	Higher ▲	A\$
EBITDA	26,103.14	200,018.00	Higher ▲	A\$ 000
Effective Tax Rate	-3.66	-3.19	Higher ▲	Percent
Gearing	31.17	27.03	Lower ▼	Percent
Interest Cover	-0.09	0.30	Higher ▲	Times
Inventory Turnover Ratio	73.14	N/C	Lower ▼	Times
Net Assets Per Share	4.51	6.47	Higher ▲	A\$
Net Profit Margin	-15.83	-14.17	Higher ▲	Percent
NPAT/Employee	-102.79	-201.81	Lower ▼	A\$ 000
PPE Turnover Ratio	0.20	0.09	Lower ▼	Times
Pre-Tax Margin	-16.32	-13.73	Higher ▲	Percent
Quick Ratio	0.50	N/C	Lower ▼	Times
Return on Shareholders Funds	-2.11	-1.46	Higher ▲	Percent
Return on Total Assets	-1.46	-1.06	Higher ▲	Percent
Revenue/Employee	1,228.56	1,537.36	Higher ▲	A\$ 000
*Industry Average refers to the average of all companies in the AU & NZ Enterprise Profiles database that are identified as primarily operating in the Cloud Storage Services industry.				

Source: Competitor Benchmarking (IBISWorld, 2025a).

S4: AI-Ready Infrastructure Capability

NEXTDC has demonstrated clear technical readiness for high-density AI workloads, deploying its first 40MW direct-to-chip liquid cooling system in FY25 (NEXTDC, 2025b). CBRE (2026) notes that such workloads require advanced infrastructure, including substantial power capacity and specialised building specifications. NEXTDC's MoU with OpenAI to develop a hyperscale AI campus and GPU supercluster in Western Sydney therefore serves as external validation of its capability to support large-scale, high-performance AI deployments (NEXTDC, 2025a).

NEXTDC has also strengthened its AI ecosystem through partnerships with NVIDIA, Dell and Lenovo. In addition, it became the first Australian data centre operator to achieve NVIDIA DGX AI Factory certification, reinforcing its leadership position in AI-ready infrastructure (IBISWorld, 2025b). The proposed AI-focused facility at Fishermans Bend further demonstrates the company's commitment to expanding AI and cloud infrastructure capacity in key Australian markets (M3 Property, 2025).

S5: Comprehensive Environmental Coverage

NEXTDC holds stronger sustainability credentials than its main competitors. It is one of only 21 data-centre entities in Australia that meet NABERS requirements for Australian Government hosting certification, and the only operator in the comparison group with ISO 14001:2015 certification across its entire Australian portfolio, spanning Sydney, Canberra, Melbourne, Brisbane and Perth (Ragusa & Crampton, 2026). In addition, from 2024 to 2025, Carbon Usage Effectiveness (CUE) decreased from 1.08 to 1.04 (NEXTDC, 2025c).

This reflects a systematic approach to environmental management that differentiates it from peers such as AirTrunk and Equinix.

Company	Center Name	NABER Rating	Voluntary Environmental Credentials
<u>New South Wales</u>			
AirTrunk	SYD1-2 (F)	NR	NS
Canberra DC	EC1-4 (F)	NR	NS
DCI DC	SYD01 (E)	NR	NS
Digital Realty	SYD10 (E)	4 ^R	ISO 14001 [31]
Digital Realty	SYD11 (E)	4.5 ^R	ISO 14001
Digital Realty	SYD14 (E)	NR	NS
Equinix Australia	SY3 (E)	NR	ISO 14001; LEED Gold
Equinix Australia	SY4-5 (E)	NR	ISO 14001; LEED Silver
Equinix Australia	SY6 (E)	NR ^P	ISO14001
Equinix Australia	SY 7 (E)	5	ISO14001
Fujitsu Australia	Western Sydney (E)	3.5 ^R	ISO14001
Fujitsu Australia	Homebush (E)	4 ^R	ISO14001
NextDC #	Sydney 1	NR	ISO14001:2015 [32]
NextDC	Sydney 2	NR	ISO14001:2015
Telstra	St Leonard's	NR	NS
Cloud Carrier	DB1	NR	ISO14001:2015
<u>Canberra (Australian Capital Territory)</u>			
Australian DC	ADC Mitchell (F)	NR	NS
Canberra DC	H1-H5 & F1-F2	NR	NS
Equinix Australia	CA1	NR	ISO14001
Macquarie Telecom	IC1-5 (E)	NR	ISO14001
NextDC	Canberra 1 (E)	NR	ISO 14001:2015
<u>Victoria</u>			
AirTrunk	Mel 1 (F)	NR	NS
Digital Realty	MEL 1 (E)	NR	ISO14001
Equinix Australia	ME2 (E)	NR	ISO 14001: LEED—Silver
Equinix Australia	ME4 (E)	NR	NS
NextDC	Melbourne 1-3 (E)	NR	ISO 14001:2015
<u>Queensland</u>			
iSEEK #	LDR2 (F)	NR	NS
NextDC	Brisbane 1-2 (E)	NR	ISO 14001:2015
Polaris	Polaris (E)	NR	ISO14001
<u>Western Australia</u>			
Equinix	PE2-3	NR	ISO14001; LEED certified (PE3 stage 1 only)
NextDC	Perth 1	NR ^P	ISO 14001; 2015
NextDC	Perth 2	NR	ISO 14001; 2015

Note: NR = Not rated as of 22 September 2025; NS = not-specified / information unavailable; # = recently purchased by HMC capital and former NEXTDC Sydney center now known as DGT SYD1; ^R = certification renewed after June 2025; ^P = previously certified but lapsed after June 2025.

Source: Environmental certification status of DC facilities (Fs) and enclaves (Es) by location (Ragusa & Crampton, 2026).

The NABER rating in the table does not show the latest data, refer to

<https://www.nabers.gov.au/ratings/find-a-current-rating>

NEXTDC has a long-standing commitment to renewable energy procurement, including an 80MW, 10-year wind power purchase agreement (PPA) signed in 2016, supporting its sustainability credentials and alignment with growing ESG expectations (Burgess, 2026).

Powering the AI revolution

Selected data centre power purchase agreements (PPAs)

Company	Project name	Renewable asset	Length	Size	Year
NextDC*	Melbourne Renewable Energy Project	Crowland wind farm	10 years	80MW	2016
AirTrunk and Google	Selected data centres	Solar farm in Riverina		25MW	2023
Airtrunk	Rooftop solar arrays at SYD1 and JB1	Rooftop solar (onsite)	N/A	N/A	
NEXTDC	Rooftop solar array at M1	Rooftop solar (onsite)	N/A	N/A	2013
NEXTDC**	Investment for S4 and S7	TBC	TBC		

Source: AirTrunk, NEXTDC • Created with Datawrapper

Source: Burgess (2026) Data centre PPAs

Weakness

W1: Asset Utilisation Efficiency Below Industry Benchmark

NEXTDC converts its asset base into revenue less efficiently than its peers. Its property, plant and equipment (PPE) turnover ratio of 0.09x sits below the industry average of 0.20x (IBISWorld, 2025a), indicating that the company's substantial infrastructure investment is not yet generating revenue at the rate achieved across the industry. This inefficiency is magnified by how concentrated the balance sheet is: PPE of around \$5.3bn accounts for roughly 93% of total assets (\$5.7bn) and almost the entirety of NEXTDC's non-current asset base (IBISWorld, 2025a). Because this capital is locked into long-term facilities that cannot readily be redeployed or converted to cash, the low turnover ratio reflects not only a revenue-conversion gap but also limited financial flexibility.

Balance Sheet

Current Assets	30-Jun-2025	30-Jun-2024
Cash at Bank	24,688	1,236,192
Trade Debtors	38,182	49,057
Inventory	-	-
Other Current Assets	256,845	49,465
Total Current Assets	319,715	1,334,714
Non-Current Assets		
Receivables	-	-
Investments	-	12,137
Property & Plant Equipment	5,284,020	3,781,537
Intangible Assets	54,700	55,829
Other Non-Current Assets	30,252	32,480
Total Non-Current Assets	5,368,972	3,881,983
Total Assets	5,688,687	5,216,697

Source: NEXTDC Balance Sheet (IBISWorld, 2025a).

W2: Lower Liquidity Buffers

NEXTDC's financial flexibility weakened sharply in FY25. From 2024 to 2025, its current ratio fell from 8.9x to 1.2x and cash reserves dropped from \$1.24 billion (\$1,240 million) to \$24.7 million (IBISWorld, 2025a). Considering total non current liabilities has around \$1.24bn (IBISWorld, 2025a). This leaves the company with a thinner buffer to absorb financial shocks and a heavier reliance on external financing to fund ongoing growth.

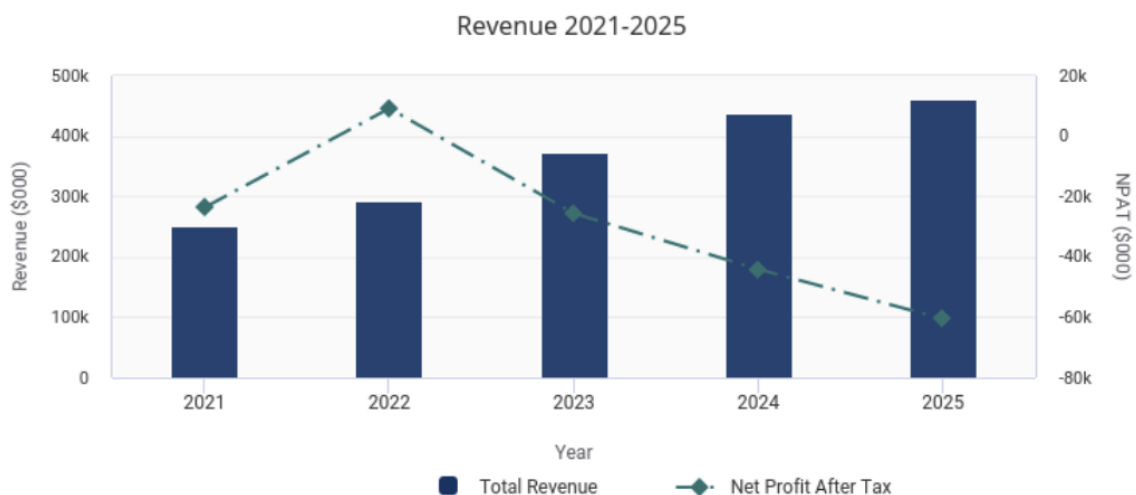
W3: Energy Efficiency Below Leading Industry Standards

Strong environmental certifications do not necessarily translate into superior energy efficiency. NEXTDC's Power Usage Effectiveness (PUE) (1.44) sits below the global average (1.55) but above the Australian median (1.3), indicating that it operates less efficiently than many domestic peers (NEXTDC, 2025b; Lim, 2026). Because electricity is a major component of data-centre operating costs, this gap may compress operating margins and

erode cost competitiveness as AI workloads, which are far more power-intensive, continue to grow.

W4: Declining NPAT & Weak Interest Cover Ratio

Revenue & NPAT



NEXTDC Limited
Source: IBISWorld

Source: Revenue & NPAT (IBISWorld, 2025a).

NEXTDC's capital structure limits its financial resilience. The company has reported net losses in four of the past five years, with NPAT deteriorating to a period-low of -\$60.5m in FY25, driven primarily by depreciation of \$208m and interest expenses of \$84m, both consequences of accelerating capital deployment (IBISWorld, 2025a). An interest cover ratio of 0.3x (IBISWorld, 2025a), meaning its EBITDA is insufficient to service debt obligations, leaving little capacity to absorb further cost increases or revenue disruption.

Profit & Loss Statement

Balance Date	30-Jun-2025	30-Jun-2024	30-Jun-2023	30-Jun-2022	30-Jun-2021
Reported Currency	AUD	AUD	AUD	AUD	AUD
Currency Units	AUD'000	AUD'000	AUD'000	AUD'000	AUD'000
Revenue Items					
Sales Revenue	427,209	404,337	362,369	291,044	246,065
Other Revenue	34,000	33,749	11,806	2,686	4,384
Total Revenue	461,209	438,086	374,175	293,730	250,449
Cost of Goods Sold	-	-	-	-	-
Depreciation	208,407	167,699	137,870	106,853	97,031
Interest					
Interest Received	33,506	32,650	10,969	1,757	3,932
Interest Expenses	83,786	91,967	78,988	52,460	49,390
Profit & Loss					
Share of Profits of Associates	-1,813	-6,592	-4,262	-	-
EBITDA	200,018	190,710	182,650	155,898	118,858
Income Tax Expense	1,874	7,840	2,402	-10,797	0.0
Continuing Operations After Tax	-60,543	-44,146	-25,641	9,139	-23,631
Outside Equity Interest	0.0	0.0	0.0	0.0	0.0
Profit Before Tax	-58,669	-36,306	-23,239	-1,658	-23,631
NPAT	-60,543	-44,146	-25,641	9,139	-23,631
Audit					
Audit Fees	907	759	784	629	430
Audit Other	163	88	15	141	20
Total Audit Fees	1,071	847	799	770	450

Source: NextDC Profit & Loss Statement (AUD'000), shown in A\$m (IBISWorld, 2025a).

Opportunity

O1: Business-Critical Digital Infrastructure

Türker Takci et al. (2025) establish that data centres are now business-critical infrastructure, underpinning AI, machine learning, data analytics and online services, while also providing essential computing capacity and business-continuity functions such as backup and disaster recovery. Rising AI and cloud adoption should therefore sustain long-term demand for data-centre capacity.

O2: Operational Flexibility

NEXTDC's data-centre infrastructure includes operational assets such as UPS systems and cooling equipment. According to Türker Takci et al. (2025), these types of assets can provide operational flexibility and have the potential to support power-system flexibility through mechanisms such as demand response, thermal storage and workload shifting.

O3: Emerging demand source

The rise of Neocloud providers is creating a distinct new source of demand for AI-ready infrastructure. These operators require large power loads, high-density racks and advanced cooling, increasing demand for specialised facilities (CBRE, 2026). NEXTDC is already positioned to capture this segment: Australian Neocloud provider Sharon AI has contracted up to 50MW with NEXTDC (CBRE, 2026), validating its ability to serve this emerging demand base.

Threats

T1: Intensifying Competition for Hyperscale Market Share

Industry demand is increasingly concentrated among hyperscale cloud and AI customers, favouring operators with greater scale and expansion capability. Emerging competitor Firmus has already announced their data centre plan (Appendix C, TE). As competition intensifies, larger operators with stronger liquidity, established lender relationships and proven ability to secure power and land at scale may be better positioned to win hyperscale contracts and capture future market growth (Moullakis, 2026). This competitive advantage may be particularly significant given NEXTDC's declining liquidity position (*W2: Lower Liquidity Buffers*), which could reduce financial flexibility for future expansion.

T2: Increasing Sustainability Pressure

NEXTDC's exposure is rising as it scales: from 2024 to 2025, Water Usage Effectiveness (WUE) increased from 2.15 to 2.25 on the back of expansion (NEXTDC, 2025c), and continued capacity growth is likely to push it higher. As disclosure obligations tighten and investor scrutiny of sustainability intensifies (*see En1*), this growing water footprint translates into rising compliance, reporting and reputational risk.

T3: Refinancing Pressure

NEXTDC has an interest cover ratio of 0.3x and \$1.54bn in total liabilities (IBISWorld, 2025a). Each interest rate increase directly compresses the already limited financial buffer. Furthermore, CBRE has noted that Australian data centre investment yields have already widened in response to rate increases (CBRE, 2026), adding further pressure to refinancing conditions. *(see Appendix B - Economic)*

T4: Expansion & Development Risk

The political and legal analysis *(Appendix B)* points to a broad tightening of compliance obligations spanning energy efficiency, environmental performance, emissions reporting and critical-infrastructure security, including the 5-star NABERS rating now required of providers (Woods, 2025) and the SOCI and NGER Acts governing the sector (Ragusa & Crampton, 2026). These standards are particularly material for NEXTDC on the efficiency dimension, as its portfolio PUE of 1.44 exceeds the Australian median of 1.3 *(see W3)*, meaning tighter efficiency benchmarks may require additional capital before its facilities comply.

Beyond these standards, proposed security-clearance and fit-and-proper-person requirements for directors and executives (Bennett, 2026) add a further compliance layer that could lengthen approval processes and slow project delivery. Because NEXTDC's growth depends on bringing new capacity online on schedule, any delay directly threatens the timely conversion of its 133.9MW Forward Order Book into revenue across FY26-FY29 (NEXTDC, 2025b), compounding the liquidity and refinancing pressures identified in *W2 (Lower Liquidity Buffers)* and *T3 (Refinancing Pressure)*.

Appendix B: PESTLE Analysis

Appendix B applies a PESTLE framework, examining the Political, Economic, Social, Technological, Environmental and Legal factors shaping NEXTDC's operating environment. Each item is labelled (P/Ec/So/Te/En/L + number) and referenced by code throughout the report.

Political

The Australian Government now treats data centres as critical infrastructure (Ragusa & Crampton, 2026). This recognition has a dual effect: it supports long-term investment in digital infrastructure while also bringing greater governance oversight.

P1: Growing Government Oversight

The Government's 2026 statement of expectations for data-centre and AI infrastructure developers signals a sharpening policy focus on energy security, sustainability and infrastructure resilience, pointing to higher regulatory scrutiny and compliance requirements for operators (Lim, 2026) (*see Appendix A - SWOT Analysis: T4 Expansion & Development Risk*).

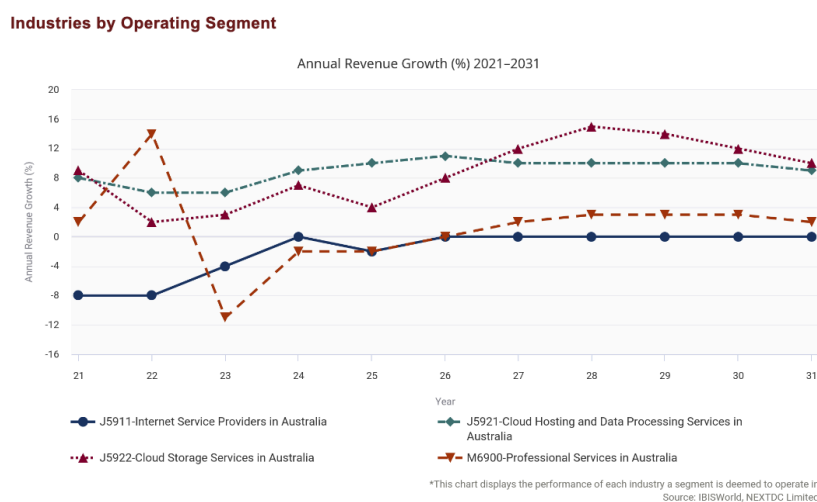
P2: National AI Strategy

The Government is also developing national data-centre principles that will set clearer expectations on sustainability, renewable energy integration and operational efficiency (Department of Industry, Science and Resources, 2025). For NEXTDC, these evolving standards raise the compliance bar for new development and reinforce the expansion risk identified in the SWOT analysis (*see Appendix A - SWOT Analysis: T4 Expansion & Development Risk*).

Economic

Ec1: Industry Growth Outlook & Strong Investment Environment

The market segments underpinning NEXTDC's operations are positioned for sustained medium-term growth. IBISWorld forecasts annual revenue growth of approximately 8% to 16% for the cloud storage services industry (J5922) between 2026 and 2028 (IBISWorld, 2025a), reflecting favourable demand conditions for digital infrastructure. Those same conditions, however, are also intensifying competition for capacity and customers (*see Appendix A - SWOT Analysis: O1 Business-Critical Digital Infrastructure & T1 Intensifying Competition for Hyperscale Market Share*).



Source: *Industries by Operating Segment Annual Revenue Growth (%) 2021-2031 (IBISWorld, 2025a).*

Australia's standing as an investment destination reinforces this outlook. The country ranked second globally for data-centre investment attractiveness in 2024 and is expected to serve as a hub for the Indo-Pacific digital economy (Lim, 2026), signalling strong investor confidence and favourable conditions for digital infrastructure development. This is borne out by the approximately \$10 billion in data-centre investment Australia attracted during 2024, second only to the United States (Knight Frank, 2025, as cited in Department of Industry, Science

and Resources, 2025). For NEXTDC, these conditions translate into a clear expansion opportunity (*see Appendix A - SWOT Analysis: O1 Business-Critical Digital Infrastructure*).

Ec2: Changes in customer composition and market demand: Hyperscaler demand increasingly dominates industry growth

Industry demand is increasingly concentrated among hyperscalers rather than traditional enterprise colocation users, underscoring the rising importance of large-scale cloud and AI customers as the primary drivers of growth.

CBRE (2026) estimates that global hyperscale demand is growing at a CAGR of 14%, against just 4% for non-hyperscale demand, and tech firms plan to increase CapEX on AI by 61%. For NEXTDC, it opens a substantial growth opportunity in the fastest-expanding segment of the market, but it also pressures a business historically built on enterprise colocation. NEXTDC will need to transform its model to capture hyperscale demand (*see Appendix A - SWOT Analysis: O1 Business-Critical Digital Infrastructure & T1 Intensifying Competition for Hyperscale Market Share*).

Ec3: Interest Rate Environment

Australia's interest rate environment has tightened materially. Inflation was already above target before the recent Middle East conflict (RBA, 2026), which has since driven sharp increases in energy prices and pushed inflation higher still. In response, the RBA raised the cash rate to 4.35% in May 2026, with markets pricing a further rise to 4.7% by year-end (RBA, 2026). For a capital-intensive operator like NEXTDC, each rate increase raises borrowing costs and erodes an already limited financial buffer, compounding its refinancing exposure (*see Appendix A - SWOT Analysis: T3 Refinancing Pressure*).

Table: Output Growth, Unemployment and Inflation Forecasts^(a)
Per cent

	Year-ended					
	Dec 2025	June 2026	Dec 2026	June 2027	Dec 2027	June 2028
GDP growth	2.6	1.9	1.3	1.3	1.4	1.4
(previous)	(2.3)	(2.1)	(1.8)	(1.6)	(1.6)	(1.6)
Unemployment rate ^(b)	4.3	4.2	4.3	4.4	4.6	4.7
(previous)	(4.2)	(4.3)	(4.3)	(4.4)	(4.5)	(4.6)
CPI inflation	3.6	4.8	4.0	2.4	2.4	2.5
(previous)	(3.6)	(4.2)	(3.6)	(2.9)	(2.7)	(2.6)
Trimmed mean inflation	3.4	3.8	3.5	3.1	2.6	2.5
(previous)	(3.4)	(3.7)	(3.2)	(2.8)	(2.7)	(2.6)

	Year-average					
	2025	2025/26	2026	2026/27	2027	2027/28
GDP growth	2.0	2.3	1.9	1.4	1.3	1.4
(previous)	(1.9)	(2.2)	(2.1)	(1.8)	(1.6)	(1.6)

	Assumptions ^(c)					
	2025	2025/26	2026	2026/27	2027	2027/28
Cash rate (%)	3.6	4.2	4.7	4.6	4.7	4.7
Trade-weighted index (index)	61.3	66.4	66.6	66.6	66.6	66.6

Source: Statement on monetary policy (RBA, 2026)

Social

So1: Enterprise shift toward colocation drives sustained demand

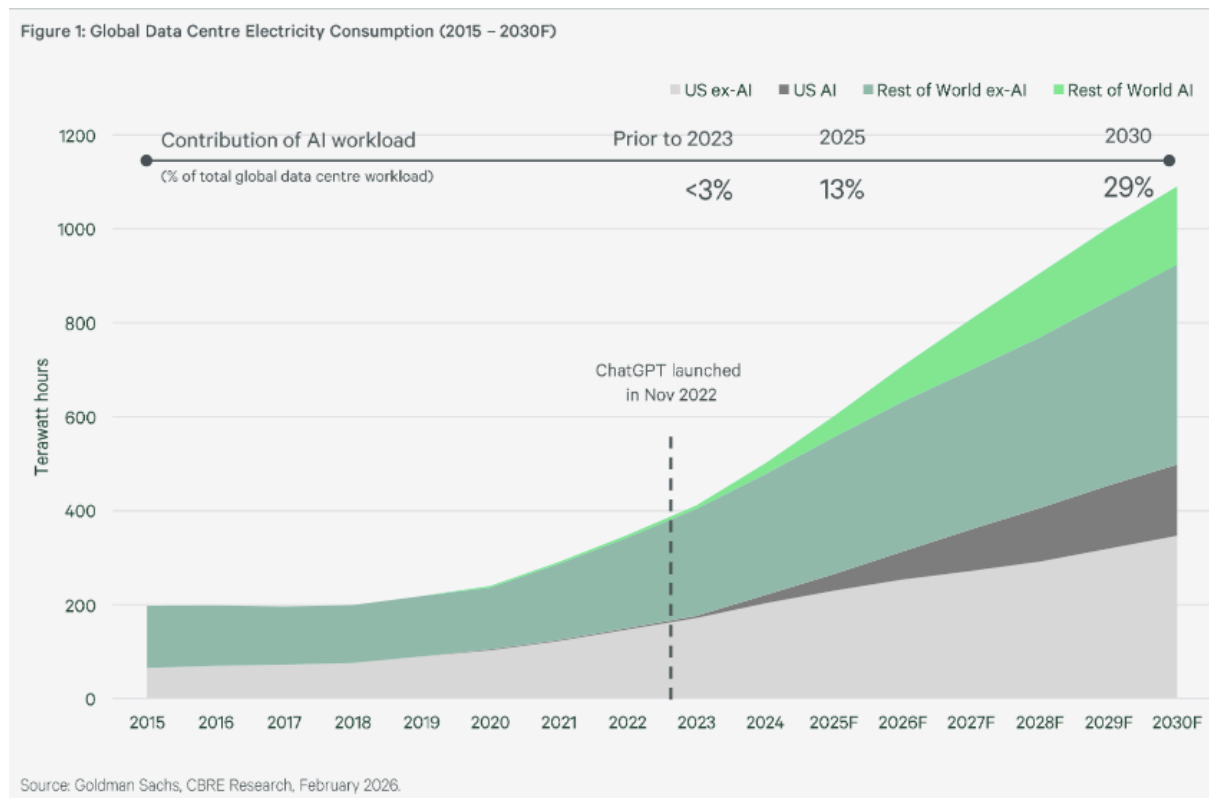
Rising costs and operational complexity are prompting organisations to move away from in-house data centres toward outsourced colocation services (Nazim et al., 2019). This structural shift in enterprise preference underpins steady, long-term demand for third-party operators. For NEXTDC, it provides a stable colocation base supporting recurring revenue, even as the faster-growing opportunity now lies in hyperscale and AI workloads (*see Appendix A - SWOT Analysis: OI Business-Critical Digital Infrastructure*).

Technology

Te1: Changing Technology Requirements

AI remains a relatively small share of data-centre activity today, accounting for less than 15% of global workload and concentrated largely in the United States (CBRE, 2026). That base is expanding rapidly, however: CBRE (2026) cites Goldman Sachs data showing global AI demand growing at a CAGR of 98% between 2023 and 2026. As AI scales, it is also

reshaping infrastructure requirements, demanding higher power density, advanced cooling and purpose-built facility design. For NEXTDC, this makes continued investment in AI-ready capability a competitive necessity rather than an optional upgrade (*see Appendix A - SWOT Analysis: O1 Business-Critical Digital Infrastructure & S4 AI-Ready Infrastructure Capability*).

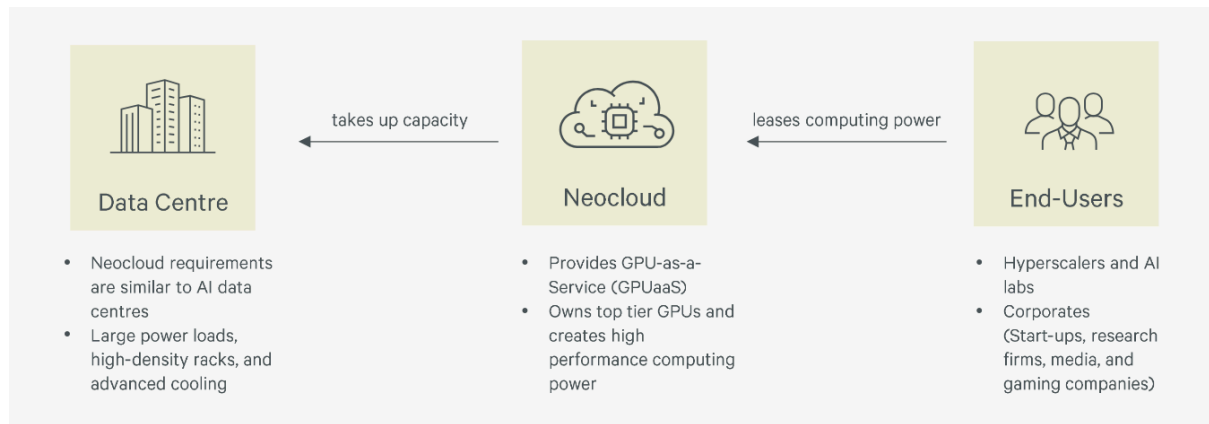


Source: Global Data Centre Electricity Consumption (2015– 2030F) (CBRE, 2026).

Te2: Emergence of New Technology-Driven Business Models

Neocloud providers are not merely a new source of demand for AI-ready infrastructure, they mark a structural shift in the digital infrastructure value chain. Their requirements for ‘large power loads, high-density racks and advanced cooling systems’ (CBRE, 2026) raise the technical bar for the entire sector. For NEXTDC, this reframes the opportunity: sustaining competitiveness will depend on its ability to keep pace with increasingly demanding power,

density, and cooling specifications (see Appendix A - SWOT Analysis, O3: Emerging demand source).



Source: Introduction to Neocloud Providers (CBRE, 2026).

Environmental

En1: Water consumption and governance gap pose environmental risk

Data centres (DCs) are significant consumers of water, yet the governance of that consumption remains underdeveloped. Ragusa and Crampton (2026) note that public awareness of the link between data use and water consumption is still limited, and that existing legislation has been criticised for insufficient transparency and accountability on industry water use. As sustainability expectations rise, the government's Expectation 3 now calls explicitly for greater transparency in water-use reporting (Department of Industry, Science and Resources, 2026). For operators, this points to tightening reporting obligations and growing reputational exposure, a pressure that bears directly on NEXTDC given its rising water footprint (see Appendix A - SWOT Analysis: T2 Increasing Water Sustainability Pressure).

Table 3. Current Australian legislation governing water.

State	Document	Data Centre	Water Supply or Use	Water Availability or Drought	Water Security	Water Scarcity	Water Potability/Drinking
Canberra	Planning and Development Act 2007; 2023	-	✓	-	✓	-	-
NSW	Environmental Planning & Assessment Act 1979; 2025	-	✓	-	✓	-	✓
Victoria	Planning & Environment Act 1987; 2025	-	✓	-	✓	-	-
Queensland	Planning Act 2016; 2025	-	✓	-	✓	-	-
Western Australia	Planning & Development Act 2005; 2025	-	✓	-	-	-	-

Note: Keyword presence is indicated by “✓” in the corresponding column.

Source: Current Australian legislation governing water as of December 2025 (Ragusa & Crampton, 2026).

Table 2. Manifest code presence *: Australian water and climate policies/strategic plans and DC.

Gov't Level	Document	Data Centre	Water Supply or Use	Water Availability or Drought	Water Security	Water Scarcity	Water Potability/Drinking
Federal	National Climate Resilience & Adaption Strategy 2021–2025	-	✓	✓	✓	-	✓
	National Water Agreement	-	-	✓	✓	-	-
	Australian Government Net Zero	✓	-	-	-	-	-
State ** ACT	ACT Government Water Strategy	-	-	✓	✓	✓	✓
	ICON Water Climate Change Adaption Plan	-	-	✓	✓	-	-
NSW	Greater Sydney Water Strategy	-	-	✓	✓	-	✓
	NSW Climate Change Policy Framework	-	-	✓	-	-	-
	Climate Change (Net Zero Future) Act 2023	-	-	-	-	-	-
QLD	Net Zero Plan Stage 1 2020–2030	-	✓	-	-	-	-
	Southeast QLD Water Security Program	-	-	✓	✓	✓	-
	Queensland Water Strategy	-	-	-	✓	✓	-
VIC	Pathways to a Climate Resilient Queensland	-	✓	✓	-	-	✓
	Climate Change Strategy	-	✓	-	-	-	-
	Water Cycle Climate Change Adaption Plan	-	✓	✓	✓	-	✓
WA	Greater Melbourne Urban Water & System Strategy	-	-	-	-	-	-
	Climate Policy	-	✓	✓	✓	-	-
	Waterwise Action Plan	-	✓	✓	-	-	✓

Notes: * Data code presence is indicated by “✓” in the corresponding column. ** State abbreviations: Australian Capital Territory (ACT), New South Wales (NSW), Queensland (QLD), Victoria (VIC), and Western Australia (WA).

Source: Australian policy documents and legislation related to “water” and “climate” governance as of December 2025 (Ragusa & Crampton, 2026).

En2: Net Zero 2050

Global and national net-zero commitments are raising environmental expectations for energy-intensive industries. Australia has committed to cutting greenhouse gas emissions by 43% by 2030 and reaching net zero by 2050 (Ragusa & Crampton, 2026), placing operators under mounting pressure from governments to improve their sustainability performance. In response, many Australian providers have committed to sourcing 100% renewable electricity by 2030 through power purchase agreements (PPAs) and large-scale generation certificates

(LGCs) (Lim, 2026). *(see Appendix A - SWOT Analysis: S5 Comprehensive Environmental Coverage & W3 Energy Efficiency Below Leading Industry Standards).*

Legal

Data-centre operators face an expanding set of legal obligations, of which the most consequential are the Security of Critical Infrastructure (SOCi) Act 2018 and the National Greenhouse and Energy Reporting (NGER) Act 2007.

L1: Security of Critical Infrastructure (SOCi) Act & National Greenhouse and Energy Reporting (NGER) Act

Among the many national frameworks, policies and strategies that apply to the sector, the SOCi Act 2018 and the NGER Act 2007 are the two pieces of legislation that most directly govern data-centre operations (Ragusa & Crampton, 2026) *(see Appendix A - SWOT Analysis: T4 Expansion & Development Risk).*

L2: NABERS requirements

Since June 2025, Australian regulations have required data service providers to achieve a 5-star NABERS rating, raising the compliance bar on energy efficiency and environmental performance (Woods, 2025) *(see Appendix A - SWOT Analysis: T4 Expansion & Development Risk).*

L3: Consideration of new regulation: Increasing Regulatory Scrutiny of Investment and Governance

The Government is also considering new regulations that would increase scrutiny of data-centre ownership and governance (Bennett, 2026). A proposed consultation paper may require directors and executives with strategic decision-making authority to undergo security

clearances or fit-and-proper-person assessments (Bennett, 2026). Together, these measures could slow capital raising and project approvals, potentially delaying expansion (*see Appendix A - SWOT Analysis: T4 Expansion & Development Risk*).

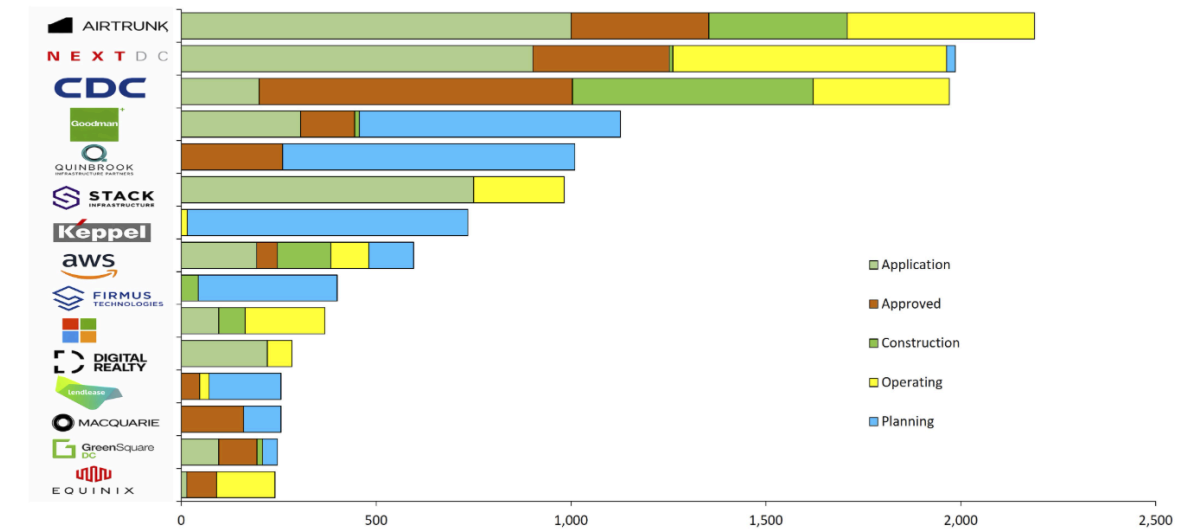
Appendix C: Porter's Five Forces

Appendix C applies Porter's Five Forces framework to evaluate the competitive forces affecting NEXTDC. The framework considers Competitive Rivalry, Threat of New Entrants, Bargaining Power of Suppliers, Bargaining Power of Buyers, and Threat of Substitutes. Each factor is labelled using a unique code (CR/NE/BS/BB/TS) and is referenced throughout the report to provide traceability between supporting evidence and the corresponding analysis.

CR: Competitive Rivalry

Competitive rivalry within the Australian data centre industry is strong. The industry is expected to experience significant growth in demand (Appendix B, Ec1), and competition remains intense due to the presence of several large and well-capitalised operators. As illustrated in the figure of Australia's leading data centre developers below, firms such as AirTrunk, NEXTDC, and Canberra Data Centres (CDC) are actively expanding their capacity (Shukla & Dixon, 2026). For example, AirTrunk's Mamre Road development is expected to ultimately reach 1GW of capacity, potentially making it one of the largest single-site data centre campuses globally (Shukla & Dixon, 2026). As competitors continue to invest heavily in expansion and compete for scarce resources such as power and land (Appendix B, T1), rivalry within the industry is expected to remain strong.

Figure 6: Top data center developers in Australia
Megawatts (MW_{AC})



Source: Rystad Energy research and analysis

Source: Top data centre developers in Australia (Shukla & Dixon, 2026).

TE: Threat of New Entrants

The threat of new entrants is assessed as moderate despite the industry's high entry barriers. As discussed in Appendix B, the data centre industry is subject to stringent regulatory requirements (Appendix B, L1-L3), as well as increasing demand for critical resources such as power and land (Appendix B, T1). In addition, operators must continuously improve energy efficiency and manage water consumption to meet environmental expectations (Appendix B, En1). Consequently, data centre development requires substantial capital expenditure (CAPEX) for infrastructure investment and ongoing operating expenditure (OPEX) for compliance and operational management, creating significant barriers to entry (KPMG, 2026).

However, these barriers are not prohibitive. Strong growth in AI continues to attract new entrants. For example, Firmus has announced plans to develop approximately 3.3GW (3,300MW) of data centre capacity, exceeding the combined operating capacity of AirTrunk,

NEXTDC, and Canberra Data Centres (CDC) in Australia (Tattersall, 2026). This suggests that while entry requires considerable resources, the industry's growth potential remains sufficiently attractive to encourage well-capitalised competitors to enter the market. Therefore, the threat of new entrants is considered moderate rather than low.

BS: Bargaining Power of Suppliers

The bargaining power of suppliers is high because NEXTDC relies on critical inputs such as electricity, which has limited substitutes and are becoming increasingly constrained by industry demand. Electricity is a critical input for data centre operations, and operators are highly dependent on reliable and scalable power supplies to support increasing IT workloads while maintaining service continuity. Behind-the-Meter (BTM) energy solutions have become increasingly important for enhancing operational resilience and reducing the risk of power disruptions (Donovan, 2024). This is particularly important for NEXTDC, which targets 100% uptime across its facilities (Appendix A, S1). As a result, access to reliable electricity infrastructure and power-related services gives suppliers considerable bargaining power within the industry.

BB: Bargaining Power of Buyers

The bargaining power of buyers is moderate. AI and HPC continue to drive demand growth. Hyperscale customers continue to drive expansion in Sydney, accounting for roughly 80% of new demand, largely through the development of large campus-style data centres (M3 Property, 2025). Many AI customers are hyperscalers, which typically require very large amounts of capacity.

However, the availability of AI-ready data centre capacity in Australia remains limited. NEXTDC has strengthened its competitive position by becoming the first Australian data centre operator certified under NVIDIA's DGX AI Factory program, placing the company at the forefront of AI infrastructure development in the Australian market (Appendix A, S4). In addition, AI training and AI inference workloads require high levels of uptime and reliability (Rystad Energy, 2026). These stringent quality requirements reduce the number of viable alternatives available to customers. This results in very high switching costs, and NEXTDC remains the only data centre operator in Australia offering 100% uptime as of today (Appendix A, S1).

TS: Threat of Substitutes

The threat of substitutes is assessed as low to moderate. One alternative is on-premises data centre infrastructure. However, building and operating private facilities requires substantial capital investment, ongoing maintenance and specialised expertise, resulting in high switching costs (Appendix B, So1). Therefore, on-premises solutions are unlikely to represent a significant substitute for most organisations.

A more viable substitute is public cloud and cloud-based HPC services offered by providers such as AWS, Microsoft Azure and Google Cloud (Mach, 2025). These services allow organisations to access scalable computing resources without significant upfront capital expenditure (CAPEX) and with more manageable operating costs (OPEX) (Mach, 2025). For example, AWS provides cloud-based HPC services that support AI, machine learning and large-scale computational workloads through scalable CPU and GPU resources (AWS, n.d.).

However, cloud and colocation solutions are increasingly complementary rather than direct substitutes, particularly for AI and HPC workloads (Mach, 2025). Organisations requiring

greater control over infrastructure, customised hardware configurations, security and performance may still prefer specialised AI-ready data centres. These advantages of on-premises HPC systems are highlighted by Mach (2025). Therefore, while substitutes exist, their overall threat remains limited.